



Granules India Limited

Q3 Earnings Presentation

Safe Harbor



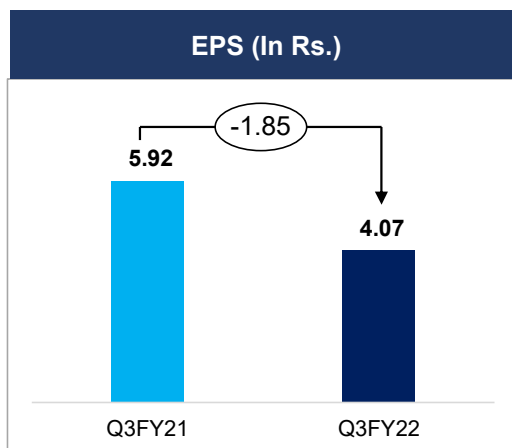
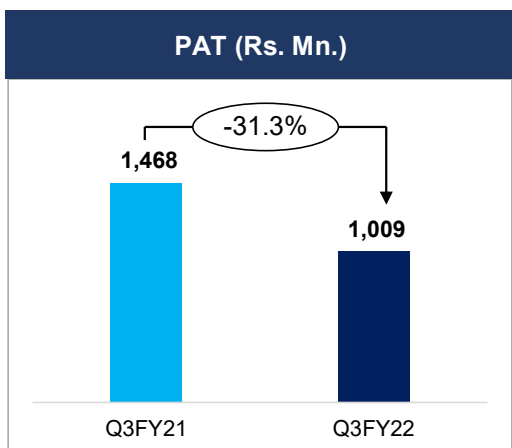
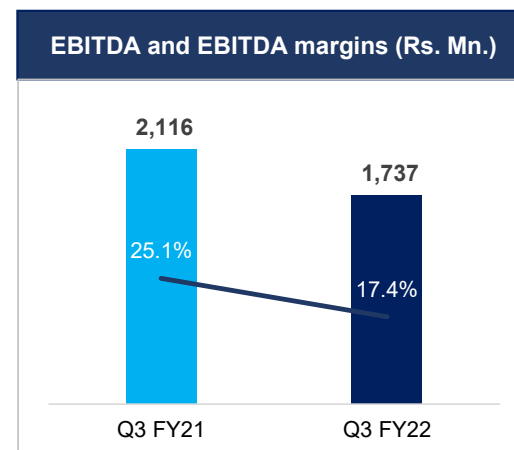
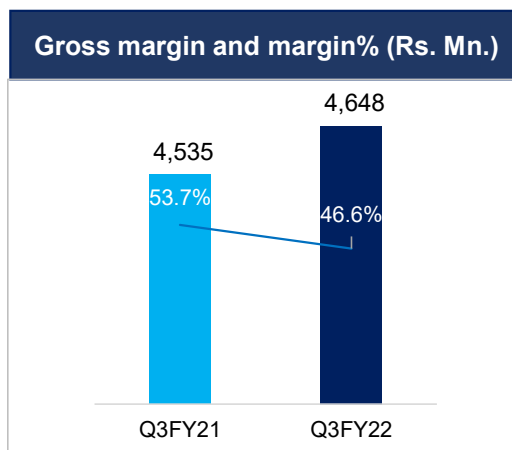
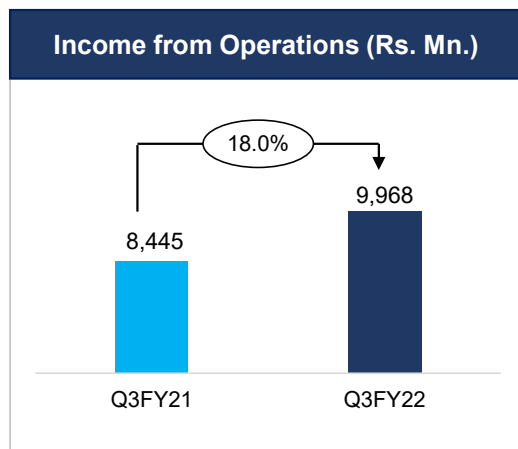
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Q3 FY22 Financial Highlights

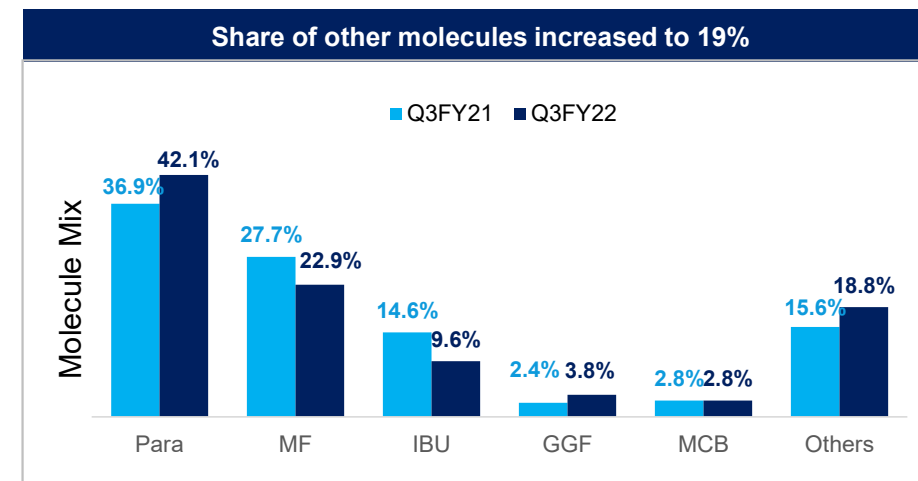
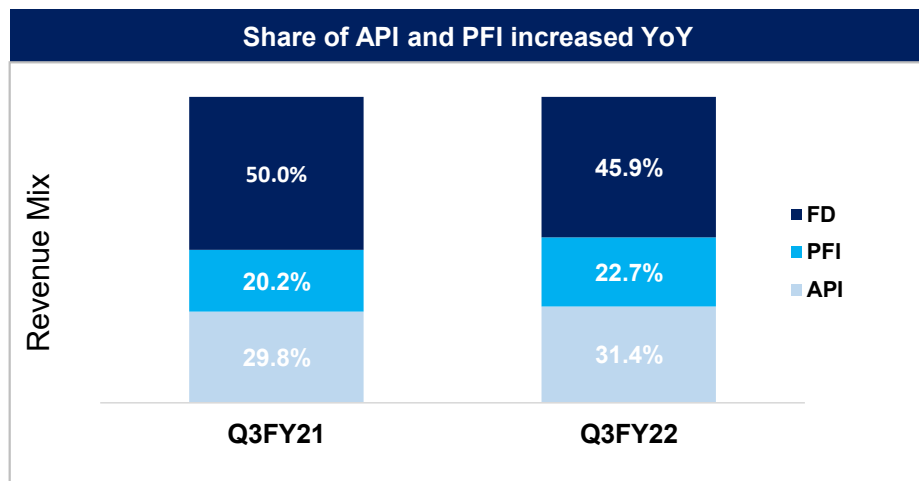
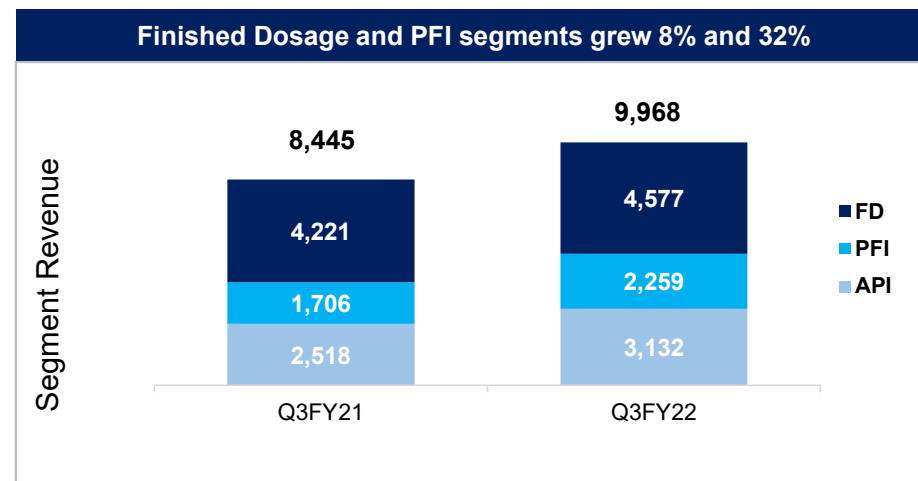
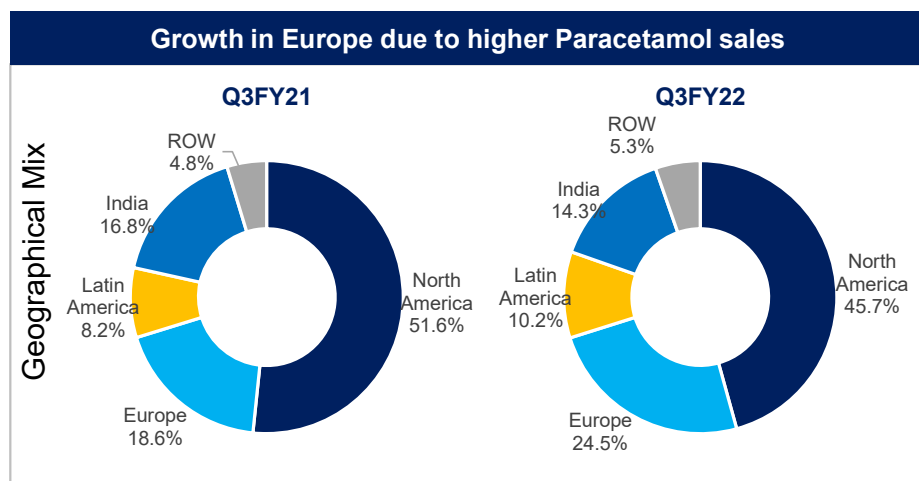
(In ₹ Mn)



- Income growth driven by new launches and increased selling price.
- EBITDA % drop is on account of increase in cost of KSM's and solvents and also increase in higher logistic cost and R&D expense.

Q3FY22 Revenue split by Market, Molecules and Segments

(In ₹ Mn)



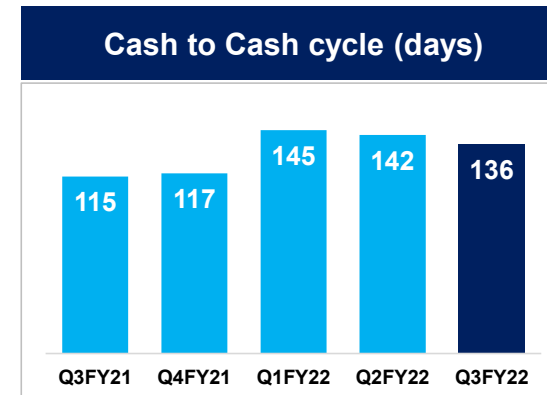
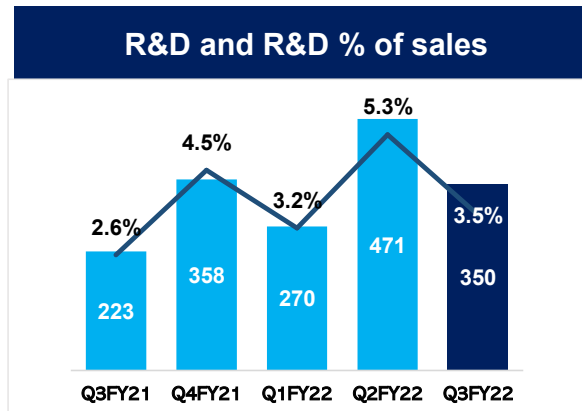
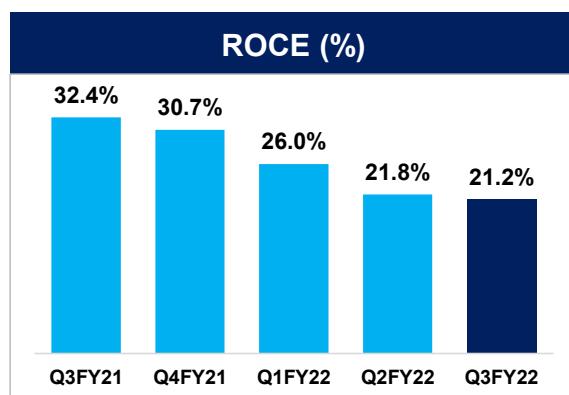
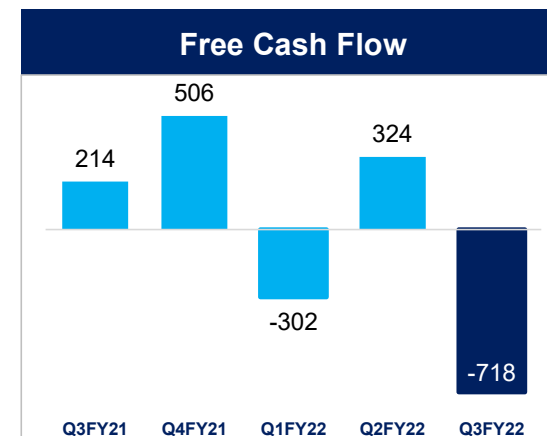
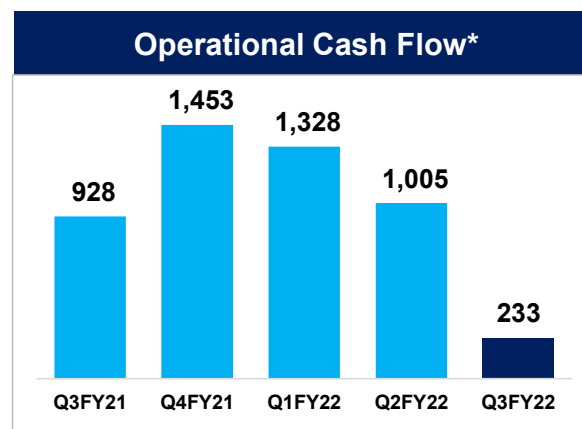
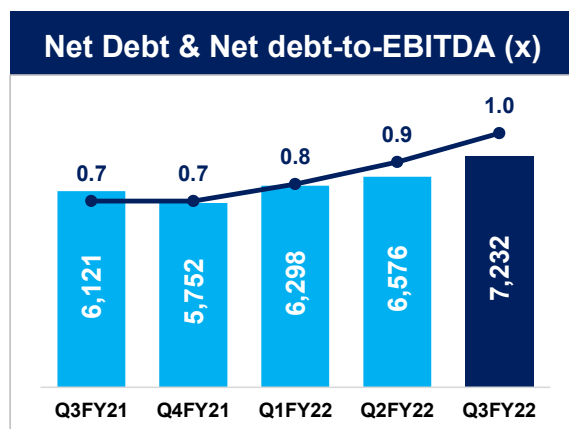


Q3FY22- Key Financial and Business Highlights

- Revenue for Q3FY22 stood at INR 9,968 Mn, growth of 18% YoY.
- FD segment grew by 8%, PFI grew by 32% and API 24% when compared to YoY. Increase in Paracetamol across all the segments by INR 1,077 Mn and increase in other molecules by INR 556 mn in view of steady market capture by newly launched molecules.
- For the consecutive two quarters, revenue share from other molecules has maintained at 19%.
- Revenue from Europe increased to 24.5% when compared to 18.6% YoY on account of increase in selling prices for Paracetamol.
- The overall gross margin recorded is lower in % terms due to change in Segment mix in the total revenue. Share of Finished dosage has come down from 57% in Q2 to 45.9% in Q3 due to higher inventory build-up at USA and year end.
- EBITDA stood at INR 1,737 Mn, down by 17.9% YoY. EBITDA margins stood at 17.4% compared to 25.1%. PAT at INR 1,009 Mn, down by 31.3%. Due to reduction in Gross margin and increase in Freight cost by INR 289 mn on account of shortage of containers and R&D cost increased by INR 126 mn as part of our future growth strategy.
- During the quarter we filed two ANDA, two Canadian Dossiers, one US DMF, one CEP and received three ANDA approvals.

Q3 FY22 Financial Ratios

(In ₹ Mn)



*Operational Cash flow has reduced primarily due to increased working capital



ANDA/Dossier filing status as of Dec'21

Filing Status	GPI IP	GIL IP					Total
	USA	USA	Europe	Canada	South Africa	UK	
Approved	22	24	2	2			50
Tentatively Approved	1	1					2
To be approved	6	6	4	3	2	2	23
Total Products	29	31	6	5	2	2	75

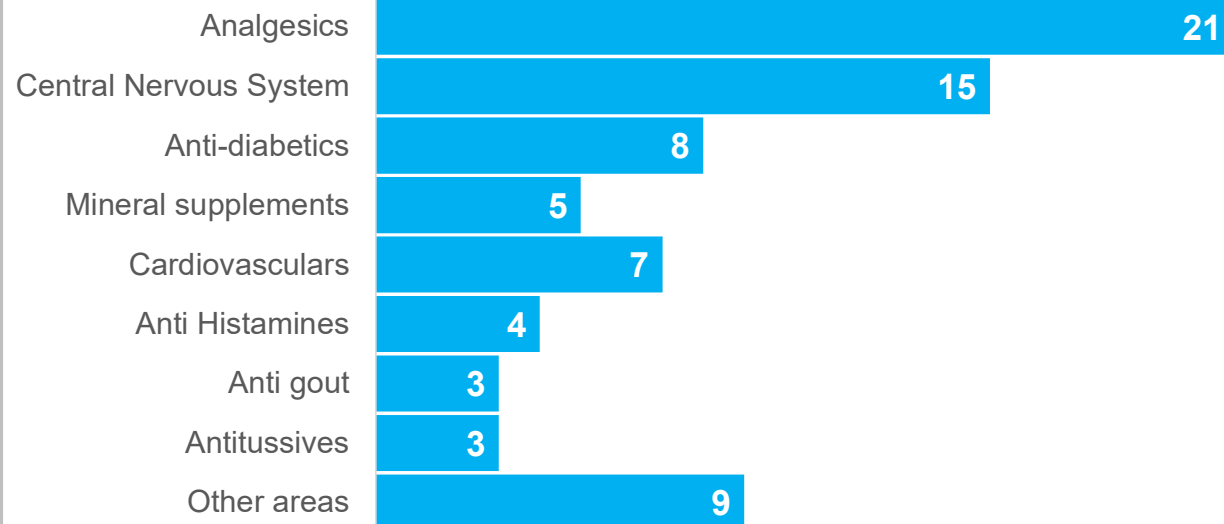
Total GPI products include:

CII – 7
PFOS – 4
Liquid Orals – 3

IMS value for these products is approximately \$9,229 Mn

*Source IMS MAT Nov 2021

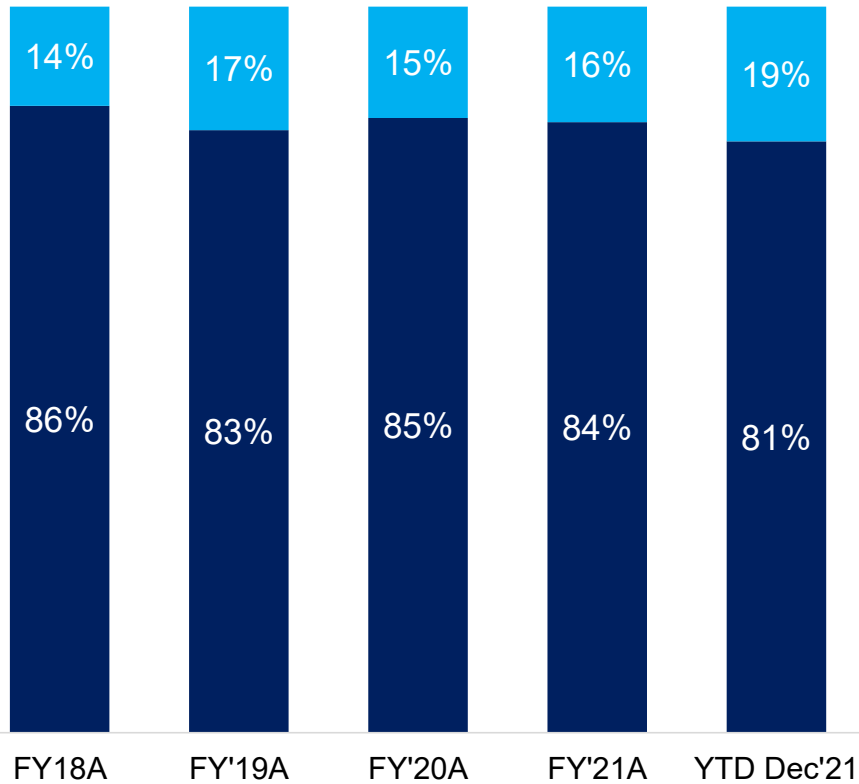
ANDA/Dossier filed - Therapeutic area wise



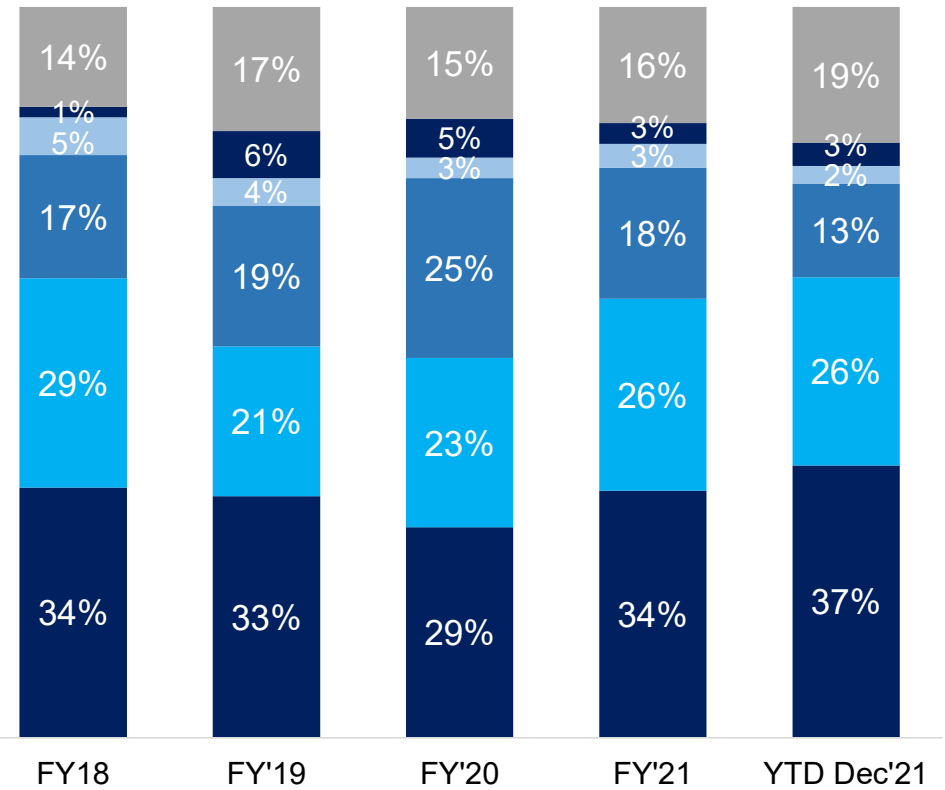


Revenue trend – percentage share from Core and Other Molecules

■ Core ■ Others



■ Para ■ MF ■ IBU ■ GGF ■ MCB ■ Others



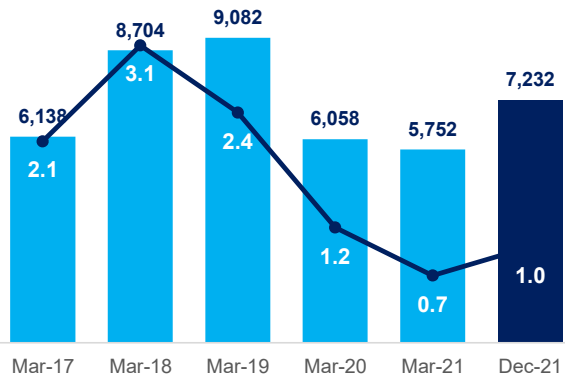
Core includes Paracetamol, Metformin, Ibuprofen, Methocarbamol and Guaifenesin



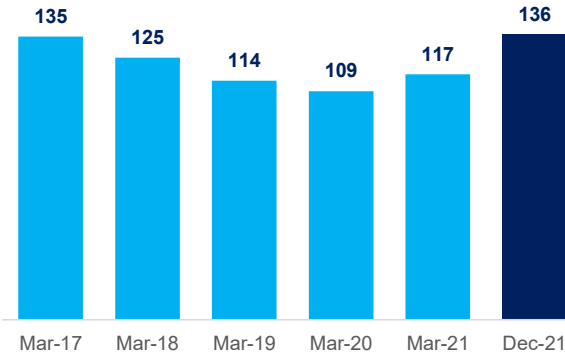
5-year trajectory: Key Ratios and Cash Flow

(In ₹ Mn)

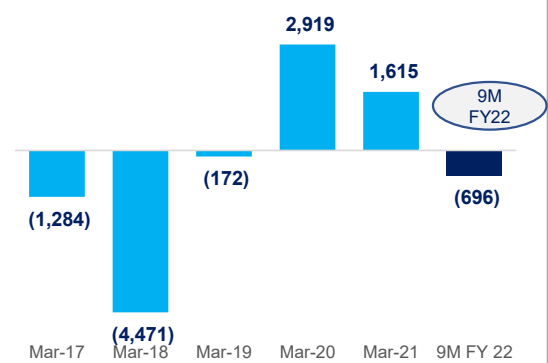
Net Debt & Net debt-to-EBITDA (x)



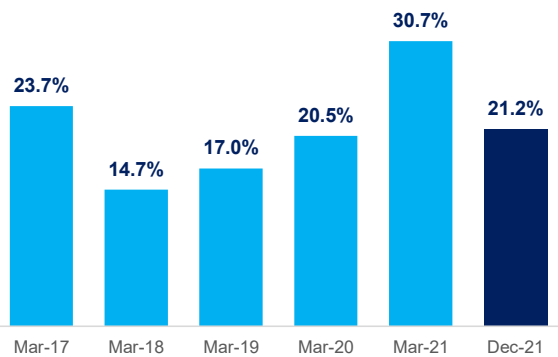
Cash-to-Cash cycle (days)



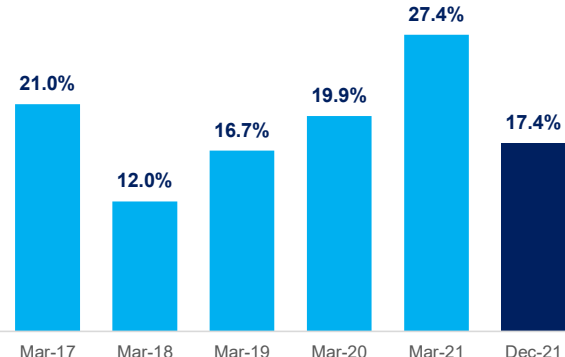
Free Cash Flow (FCF)



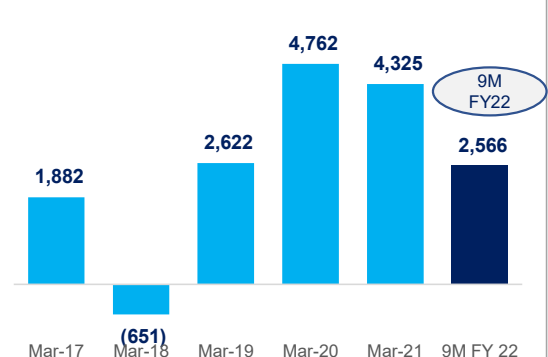
ROCE (%)



ROE (%)



Operating Cash Flow (OCF)

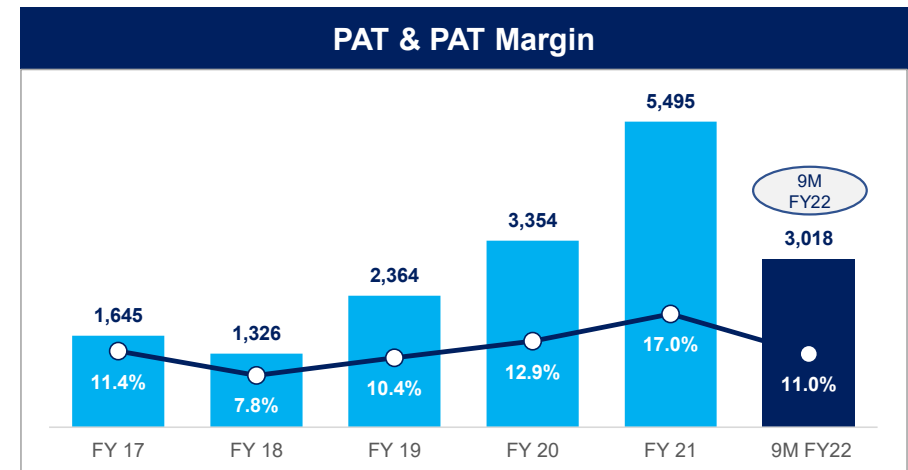
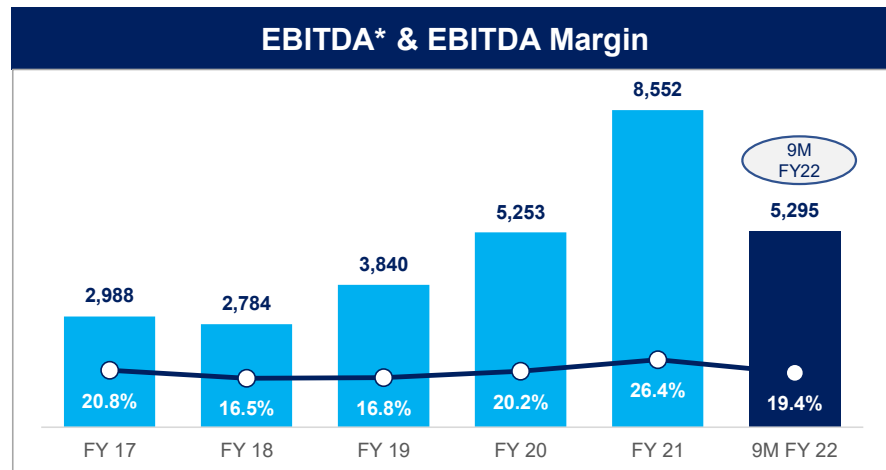
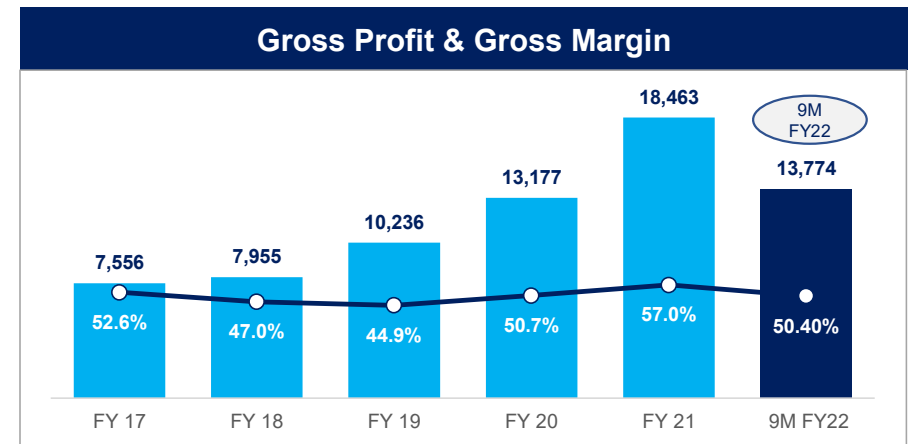
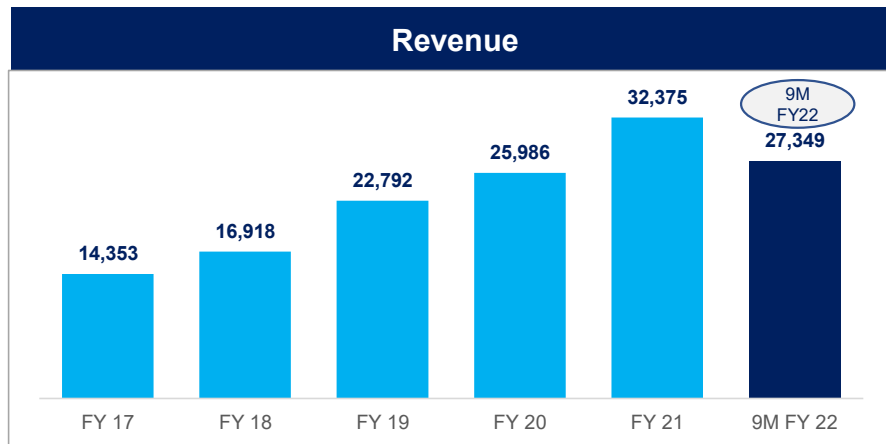


ROCE = [EBIT/Avg. Capital Employed (Total assets-current liabilities)]; FCF= CF from operating activities - Capex



5-year trajectory : Revenue and Profitability

(In ₹Mn)

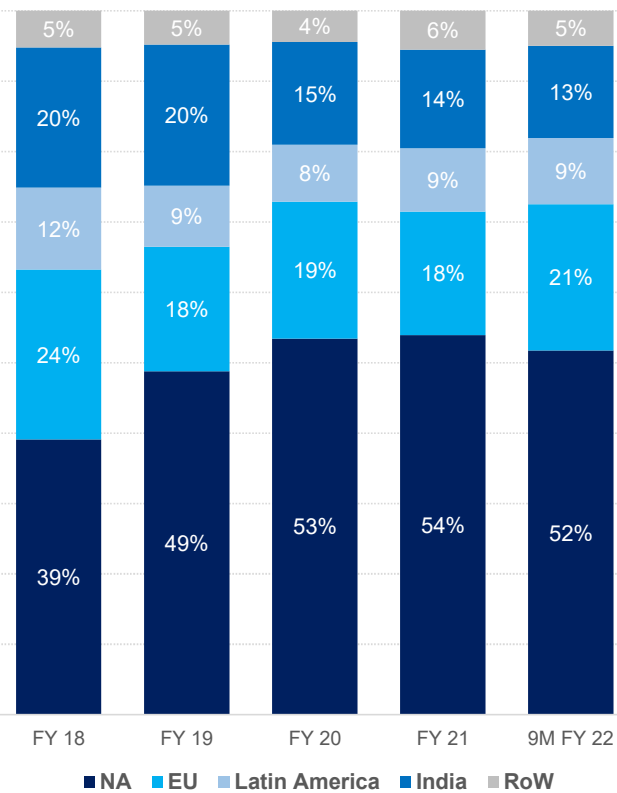




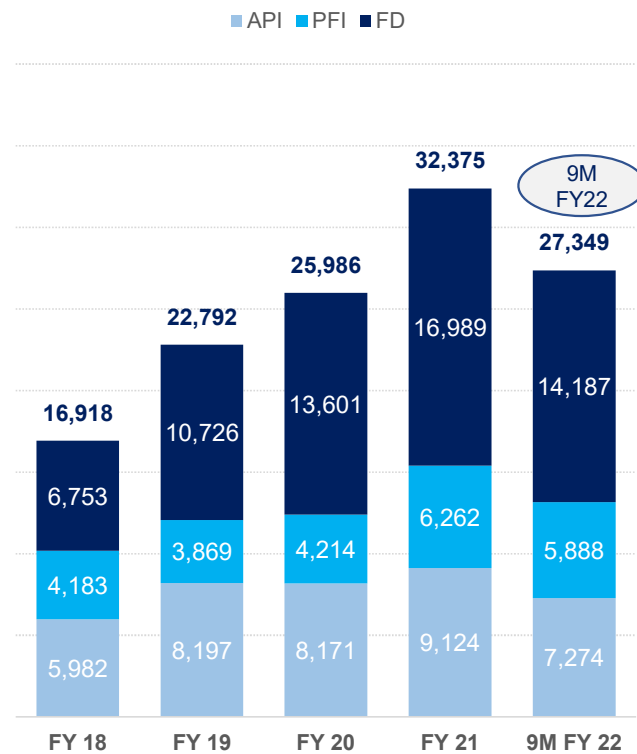
5-year trajectory: Market and Segment mix

(In ₹Mn)

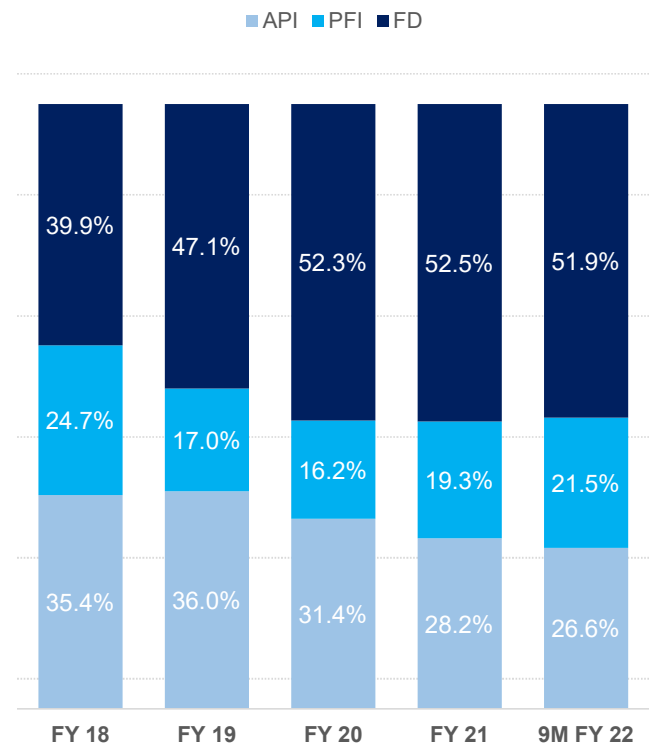
Higher revenue contribution coming from regulated market, 73% of total revenues



Finished Dosage contribution going up



FD revenue contribution increased to 52% from 40% in last 5yrs



In Summary



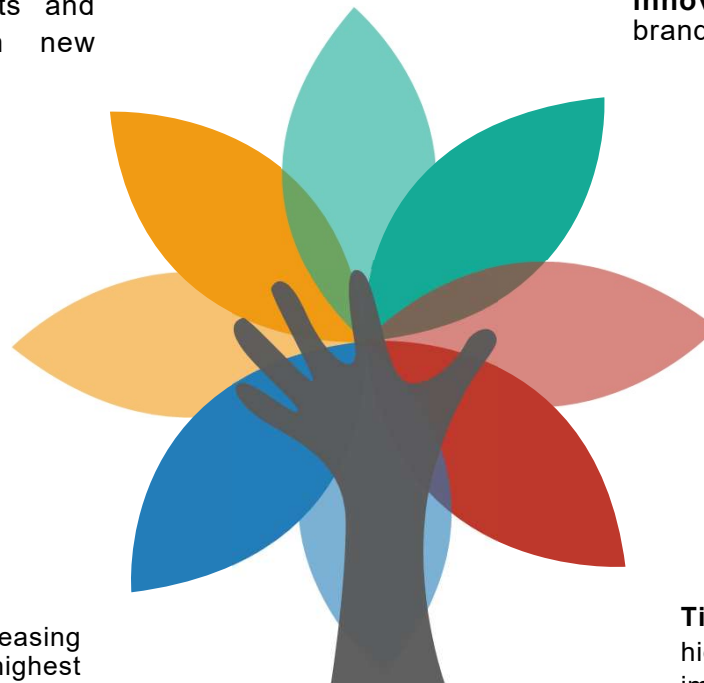
Timely launches of new products, increasing the market share of existing products and expansion of existing products in new geographies

Investing in **People, Technologies, and Process innovation** to differentiate Granules as a unique brand

Continue R&D efforts and ensure robust portfolio building to support the growth engine

Building **Sustainability by design** in our Facilities, Products and Processes

Ensure employee safety while increasing productivity and continue giving highest importance to **Regulatory Compliance**



Improve profitability by right product selection, continuous focus in operational excellence projects and cost rationalisation.

Tighter working capital management with high focus on defining inventory norms and improving collections from debtors.

Glossary



API: Active Pharmaceutical Ingredient

PFI: Pharmaceuticals Formulation Intermediates

FD: Finished Dosage

OTC: Over the counter drugs

Rx: Prescription drugs

IR: Immediate Release

ER: Extended Release

CII: Control substances

PFOS: Powder for oral suspensions and solutions

MUPS: Multi-unit pellet system

Para: Paracetamol

MF: Metformin

IBU: Ibuprofen

GGF: Guaifenesin

MCB: Methocarbamol

NA: North America

EU – Europe

RoW – Rest of the World



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thank you!



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